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Session 1 of 6 · ~2 hours including discussion

Why Money Exists

And why it matters more than you think

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SESSION 1

Trade

The engine behind everything

Your Morning Is a Miracle

“Every product you own, every service you use, every medicine that has ever saved a life — all of it exists because humans figured out how to trade with strangers they would never meet.”

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Your coffee came from Colombia

Beans grown, roasted, transported, distributed — by people who don't know each other, coordinated by nothing but prices and money.

Your phone: five continents

No single person or government planned it. A global network of specialists, each trading their expertise, assembled it for you.

This is not an accident

It happened because humans trade. And trade is only possible because of a mechanism most of us never think about — money.

Specialization: The Real Engine

When people trade, something remarkable happens: they specialize. Instead of every family growing its own food, making its own clothes, and building its own shelter — each person does the thing they do best.

A farmer grows more food than his family needs. A weaver makes more cloth than she can wear. They trade. Both are better off. Economists call this lengthening the lines of production — the longer the chain of cooperating specialists, the more complex and capable the output.

Our modern world — with its hospitals, its infrastructure, its food abundance — is the accumulated result of billions of these trades, compounding over centuries. It is not the result of any single genius or government.

The Problem: Classic Barter Breaks Down

The double coincidence of wants

To trade directly, you need someone who has what you need AND wants what you have — at the exact same time. This is called the double coincidence of wants.

Why this matters

A cattle rancher who needs dental work can't pay the dentist in beef unless the dentist specifically wants beef, today. At scale, this makes complex trade nearly impossible.

You can't build supply chains on barter

The global economy we described — five continents building your phone — is impossible under barter. Something else was needed.

The solution: money

A universally accepted go-between. Something everyone would take even if they personally didn't need it — because they knew someone else would.

SESSION 1

Gold

How nature's best money was discovered

What Makes Something Good Money?

Scarce

Cannot be created freely — or it loses value

Durable

Does not rot or degrade — stores value across time

Divisible

Works for transactions of any size

Fungible

Each unit identical to every other

Portable

Can be moved and transferred easily

Verifiable

Anyone can confirm it is real

Decentralized

No single entity controls it

Gold Won the Competition

“Gold did not become the world's reserve money because kings decreed it. It became reserve money because it kept winning the competition. Every civilization that encountered it independently arrived at the same conclusion.”

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Extraordinarily scarce

All gold ever mined in history fills roughly 3.5 Olympic swimming pools. New supply is slow and hard.

Checks almost every box

Does not corrode. Divisible, fungible, recognizable anywhere on earth. For most of history, closest to perfect money ever found.

One fatal flaw

It is heavy. Moving large amounts requires trusting a third party — and that trust was eventually, always, abused.

DISCUSSION — Session 1

1. Before tonight, how did you think about where money came from? Has that changed?

2. Think about your own work or business. How many people are in the chain between your inputs and your customers? What would happen to that chain without money?

3. Gold emerged as the winner through thousands of years of competition. What properties made it win? Are any of them surprising?

4. What question did tonight raise that you'll be thinking about until next session?

Coming Next — Session 2

“Gold won the competition for thousands of years. But it has one fatal flaw — and that flaw was the crack in the door that changed everything.”

Homework prompt

Notice one price that surprised you this week — higher than expected. Ask: is this thing more valuable, or is the money measuring it less reliable?

Explore the data

freemarketwatch.world — see how currencies and assets have performed in real purchasing power terms

Session 2 preview

What makes good money — and how gold's one weakness was quietly exploited to create the system we live in today